RESEARCH PAPER

# How Does Europe Pay for Rearmament?

*Europe has found the will to spend. It has not yet found a permanent way to finance it.*

**Security Ireland**

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## IDEA IN BRIEF

**THE PROBLEM**

EU-27 defence spending reached €381 billion in 2025, up 63% from 2020. Germany has unlocked €400 billion in new borrowing. The SAFE loan instrument offers €150 billion. NATO's new target is 3.5% of GDP by 2035, rising to 5%. But political consensus does not amount to fiscal architecture. The mechanisms are temporary, the fiscal space is radically unequal, and defence is only one of several enormous claims competing for the same constrained budgets.

**THE DIAGNOSIS**

The national escape clause — by far the largest instrument — expires at the end of 2028. After that, normal fiscal rules resume. Five member states carry debt above 100% of GDP and face a genuine fiscal trilemma: they cannot simultaneously sustain social spending, service debt, and ramp up defence expenditure. Combined spending pressures of 3–8.5% of GDP vastly exceed the 1.5% flexibility the escape clause provides.

**THE BOTTOM LINE**

Europe has found emergency mechanisms that provide short-term fiscal space. But they are temporary, nationally fragmented, and structurally insufficient. What is missing is a permanent European fiscal architecture for defence. The escape clause expires in less than three years. If no permanent mechanism is in place by then, the era of rearmament will have lasted four years — and the financing architecture will have been a bridge to nowhere.

## The Financing Problem

The numbers are staggering: EU-27 defence spending reached €381 billion in 2025, up 63% from 2020 — a 19% increase in a single year. Germany has reformed its constitutional debt brake to unlock an estimated €400 billion for defence through the mid-2030s. The European Commission's ReArm Europe plan aims to mobilise €800 billion by 2030. NATO's new spending commitment, agreed at The Hague in June 2025, sets a minimum of 3.5% of GDP by 2035, with an ultimate target of 5%.

These are not aspirational figures. Seventeen of twenty-seven member states have already activated the national escape clause of the *Stability and Growth Pact* to begin spending above normal fiscal limits. The SAFE loan instrument — €150 billion in EU-backed credit — was adopted in May 2025 and is operational. The political consensus that European rearmament is necessary is broader and deeper than at any point since the Cold War.

But political consensus does not amount to fiscal architecture, and the question today is no longer whether Europe wants to spend more on defence, as it does, but whether it can sustain the spending levels the security environment demands — and whether the financing mechanisms currently in place can survive the transition from emergency response to permanent structural commitment.

The answer, at present, is that the mechanisms are temporary; the fiscal space is radically unequal across member states; and defence is only one of several enormous claims competing for the same constrained budgets.

## The Financing Architecture

Europe's current defence financing operates through five principal mechanisms, each with different scales, constraints, and expiry dates.

**The national escape clause** is by far the largest instrument. Activated under the Stability and Growth Pact, it allows member states to increase defence spending by up to 1.5% of GDP without triggering excessive deficit procedures. If all twenty-seven member states used the full allowance, this would create fiscal space of roughly €650 billion over four years. In practice, seventeen have activated it so far. The clause is available from 2025 through 2028 — for four years. After that, normal fiscal rules resume.

**The SAFE loan instrument** provides up to €150 billion in EU-backed loans, raised on capital markets and disbursed to member states based on national defence investment plans. SAFE is focused on joint procurement: member states that buy together get preferential terms. The instrument runs until 2030, and it is debt, not grants — member states must repay the loans, adding to national liabilities even if borrowing costs are lower than sovereign rates.

**Germany's debt brake reform** is the single largest national commitment. The spring 2025 constitutional amendment exempts defence spending above 1% of GDP from the debt brake, creating cumulative capacity of approximately €400 billion through the mid-2030s. This is on top of the €100 billion special fund established in 2022, expected to be exhausted by 2027. Germany's reform is structurally significant because it is permanent — but it applies only to Germany.

**EU-level instruments** — the European Defence Fund, EDIP, and EIB defence lending — are real but comparatively small. The EDF commits roughly €8 billion across 2021–2027 for collaborative R&D. EDIP adds €1.5 billion in grants. The EIB plans €3.5 billion per year. Important for coordination and signalling, but a rounding error against the hundreds of billions required at national level.

**Private capital mobilisation** is the most speculative channel. The Commission has proposed public guarantees that could leverage up to €200 billion in private investment. But Europe's defence sector has historically faced significant barriers to private capital: ESG exclusions, fragmented regulatory environments across twenty-seven jurisdictions, and investor caution about a sector where the customer is a government with unpredictable procurement timelines.

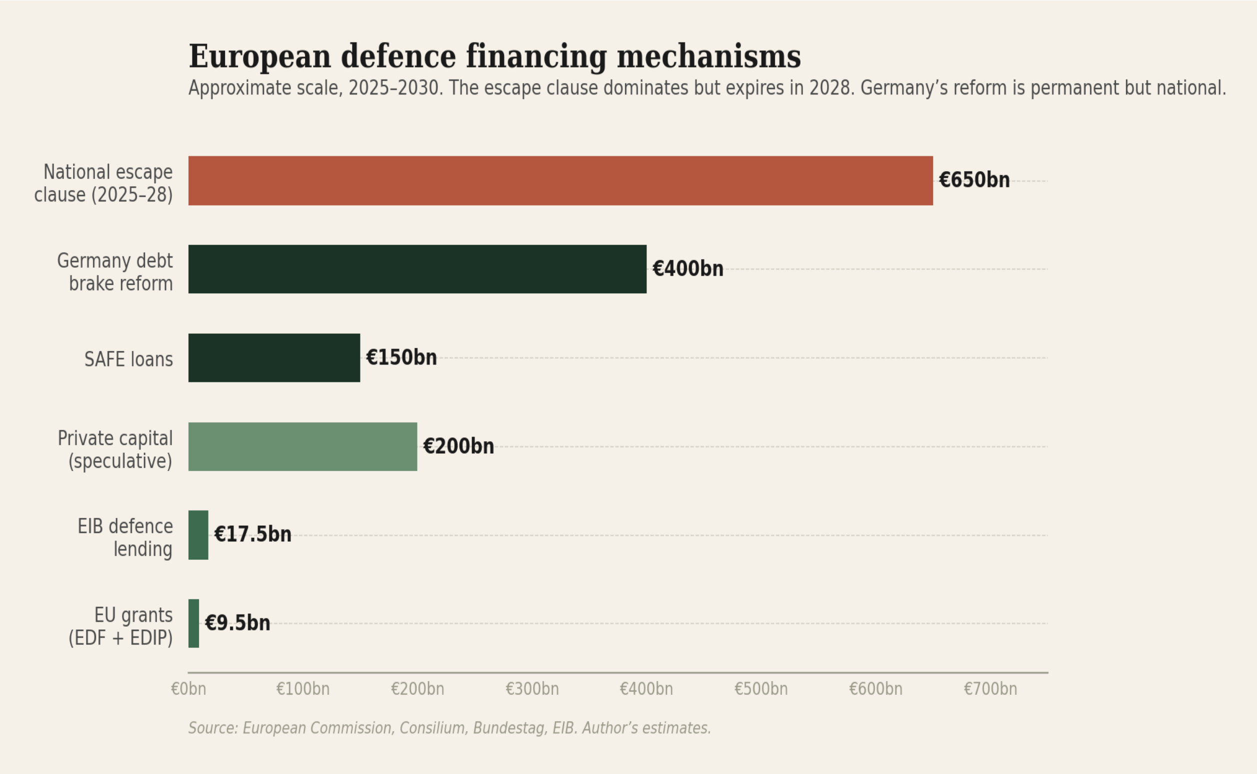


*Figure 1: European defence financing mechanisms, 2025–2030. The national escape clause dominates but expires in 2028.*

## The Fiscal Space Divide

The most distorting feature of European defence financing is the radical inequality in fiscal capacity across member states. The escape clause offers every country the same percentage flexibility — up to 1.5% of GDP — but the ability to use that flexibility depends entirely on where each country starts.

At one end, Estonia, Bulgaria, Luxembourg, Denmark, and Sweden all carry government debt below 35% of GDP. These countries have substantial borrowing capacity. Estonia's debt is just 24%; it could double its defence spending through borrowing without approaching the Maastricht threshold.

At the other end, five member states — Greece, Italy, France, Belgium, and Spain — carry debt above 100% of GDP. France is already running a deficit of nearly 6%. Italy's debt stands at 138%. These countries face a genuine fiscal trilemma: they cannot simultaneously sustain existing social spending, service their debt, and ramp up defence expenditure without something giving way.

The irony is unforgiving. The countries with the greatest fiscal space — the Baltics, the Nordics, Central and Eastern Europe — are already among the highest defence spenders as a share of GDP, driven by proximity to Russia. The countries with the least fiscal space — France, Italy, Belgium — are being asked to make the largest absolute increases, and they are the ones least able to borrow their way there.

Germany occupies a unique intermediate position. Its debt-to-GDP ratio of 62% is manageable, and the debt brake reform has created genuine long-term capacity. But Germany's solution is constitutionally specific — it required a two-thirds supermajority in the Bundestag — and cannot be replicated across the EU through any existing mechanism.

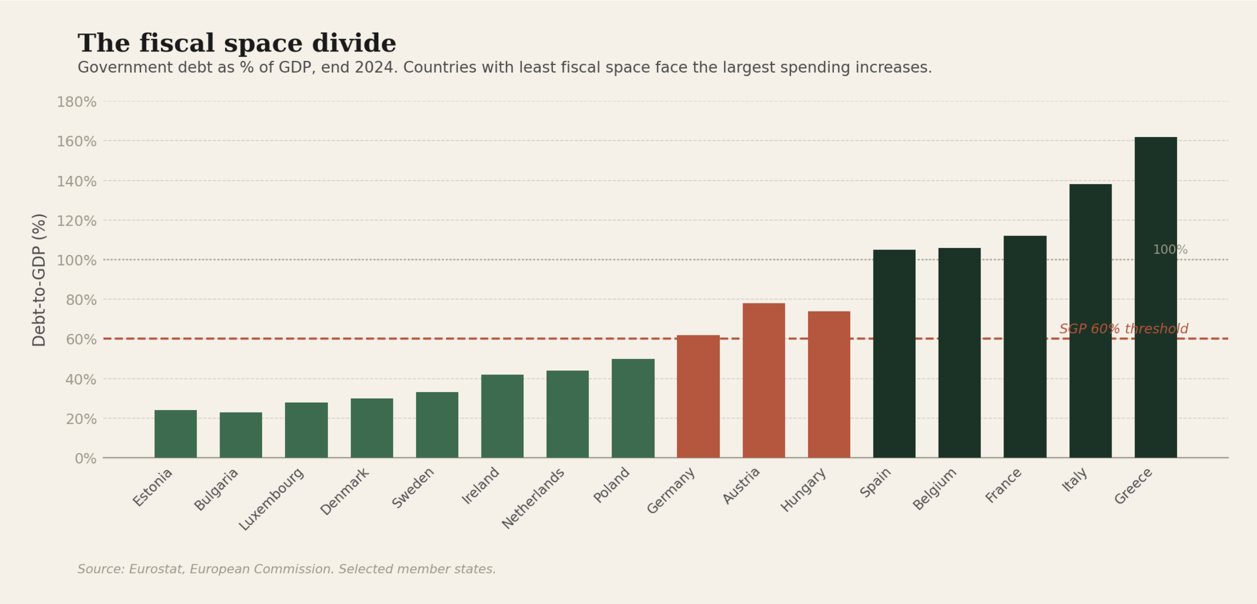


*Figure 2: Government debt as % of GDP, end 2024. Countries with the least fiscal space face the largest spending increases.*

## The Competing Claims

Defence is not the only large structural spending commitment Europe faces. The green transition requires sustained public investment in energy infrastructure, building renovation, industrial decarbonisation, and adaptation — the Commission's own estimates imply additional needs of 0.5–1.5% of GDP annually. Demographic pressures are intensifying across most member states, driving rising pension, healthcare, and long-term care costs that will add an estimated 0.8–2.0% of GDP in additional spending over the next decade.

Digital infrastructure — including broadband, AI capabilities, and cybersecurity — represents a further claim of 0.3–0.7% of GDP. Debt service costs have risen to their highest level since the Great Financial Crisis, consuming an increasing share of government revenues. And ongoing support for Ukraine — military, economic, and humanitarian — represents a further open-ended fiscal commitment.

When these claims are aggregated, the total additional spending pressure runs between 3% and 8.5% of GDP. The escape clause provides 1.5% for four years. The arithmetic does not resolve.

This is not an abstract accounting problem. It is a political economy problem. Every percentage point allocated to defence is a percentage point not available for pensions, healthcare, climate, or education. Governments that raise defence spending at the expense of social services face electoral consequences. Governments that borrow to avoid the trade-off face bond market consequences. There is no painless path.

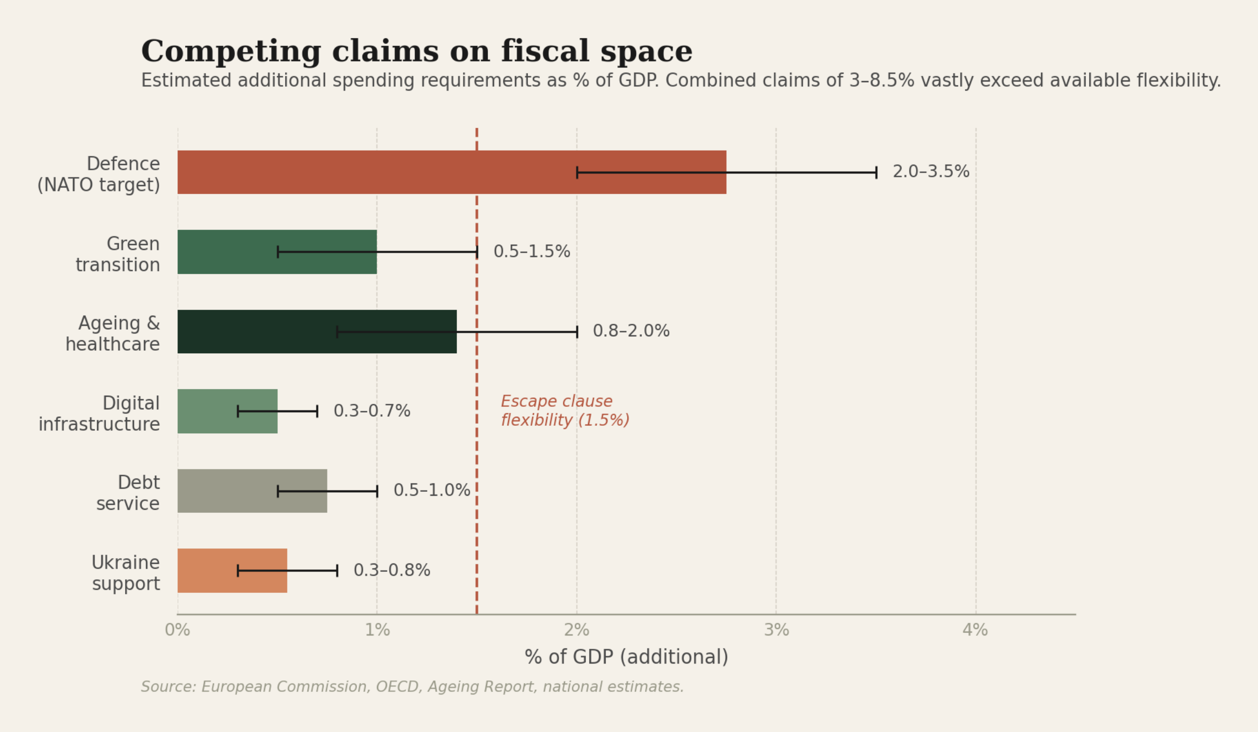


*Figure 3: Competing claims on fiscal space. Combined requirements of 3–8.5% of GDP vastly exceed the escape clause flexibility.*

## After the Escape Clause

The national escape clause expires at the end of 2028, and unless the fiscal framework is reformed, member states will need to finance defence spending within standard Stability and Growth Pact rules. For countries already in excessive deficit procedures — France, Italy, Slovakia, Romania — any additional defence spending will require equivalent cuts elsewhere or additional revenue. Five paths forward exist.

### 1. Permanent fiscal carve-outs

The most straightforward option would be to permanently exempt defence spending from fiscal rules, as Germany has effectively done at the national level. This would require amending the Stability and Growth Pact — a politically fraught process that would reopen arguments about fiscal discipline, moral hazard, and the credibility of the EU's fiscal framework. Northern European creditor states would likely resist any permanent weakening of fiscal rules, even for defence.

### 2. EU-level joint borrowing

The SAFE instrument already represents EU-level borrowing on behalf of member states. A more ambitious version — permanent EU defence bonds, analogous to the pandemic-era NGEU borrowing — would allow the EU to raise capital at scale and distribute it to member states. This would be transformative for high-debt countries, but it faces the same political resistance that every proposal for common European debt encounters: northern states fear that they are underwriting southern profligacy. The precedent of NGEU may make this marginally easier, but the political barriers remain formidable.

### 3. Revenue-side reforms

Some member states may choose to finance defence through higher taxes rather than borrowing. Defence levies, windfall taxes, or reallocation of existing revenues are all technically feasible. But tax increases are politically toxic in most European democracies, and defence spending increases are already unpopular with electorates that prefer social spending. Revenue-side solutions are available in principle but highly constrained in practice.

### 4. Expenditure reallocation

Governments could shift spending from other areas into defence. In practice, the politically feasible candidates for cuts — development aid, administrative costs, cultural programmes — are too small to matter at the scale required. The areas large enough to provide meaningful reallocation — pensions, healthcare, and education — are politically untouchable in most member states.

### 5. Efficiency through coordination

Generate more capability from the same spending by eliminating duplication and consolidating procurement. As the companion paper argues, fragmentation of twenty-seven national systems imposes an enormous hidden cost. Joint procurement and standardisation could dramatically improve the ratio of capability to expenditure. This does not solve the financing problem, but it reduces the financing required for a given level of capability.

## The Architecture Problem

The financing challenge is ultimately an architecture problem. Europe has found emergency mechanisms that provide short-term fiscal space. These mechanisms are real and working: defence spending is rising sharply.

But they are temporary, nationally fragmented, and structurally insufficient for the level of spending European security now requires on a permanent basis. The escape clause bridges four years. SAFE runs for five. Germany's reform is permanent but applies to one country. Private capital remains speculative. The EU's own grant instruments are measured in low single-digit billions against a problem measured in hundreds of billions.

What is missing is a permanent European fiscal architecture for defence: a mechanism that allows member states with different debt levels, different fiscal traditions, and different political constraints to sustain defence spending at 3–4% of GDP without periodic crises of fiscal sustainability.

Building that architecture will require confronting questions European leaders have spent decades avoiding. Should the EU borrow jointly for defence on a permanent basis? Should fiscal rules be permanently redesigned? Should burden-sharing mechanisms redistribute cost from high-debt to low-debt states? Each question touches the foundations of European fiscal governance.

The urgency is real, as the escape clause expires in less than three years. If no permanent mechanism is in place by then, European defence spending will collide with the same fiscal rules that constrained it for the previous two decades. The era of rearmament will have lasted four years — and the financing architecture will have been a bridge to nowhere.

**THE BOTTOM LINE**

Europe has found the will to spend, but it has not yet found a permanent way to pay for it. The escape clause expires in 2028. SAFE runs until 2030. Germany's reform is permanent but national. What is missing is a permanent European fiscal architecture for defence. Without one, the era of rearmament becomes a four-year bridge to nowhere.

**SERIES CONTEXT**

This paper is the second in the Security Ireland foundational analysis series. It examines the fiscal architecture underlying European rearmament. The companion paper — *'Europe's Defence Problem Isn't Spending'* — examines the coordination architecture. Together they argue that the binding constraints on European defence are architectural, not fiscal or political.

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